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Determinants of non-profit sports clubs' perceived competition from commercial sports providers

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ABSTRACT

The purpose of the study was to investigate if non-profit sports clubs are affected by the growth of the commercial market and, if so, which clubs are affected and why. The authors employed a mixed-method design, collecting quantitative data from a sample of 4456 non-profit sports clubs in Germany and then conducting a follow-up qualitative study including semi-structured interviews with 6 sports clubs. Descriptive results showed that 35.3% of clubs perceived competition from commercial sports providers as a problem. The logistic regression analysis revealed that clubs offering sports for health and fitness, rehabilitation sports, martial arts, and dancing are more likely to perceive competition as a problem. Clubs aiming at social integration are also more likely to report a problem, while clubs following a strategic management approach are less likely to be affected by competition. The interviews unveiled that the reasons for competition are the different types of sports offered, financial aspects, characteristics of clubs, and markets. The findings suggest that organizational characteristics and types of sports offered are better suited as strategic group variables in the sports market than organizational strategies. Measures to counteract competition include the use of strategic management principles, cooperative relationships with commercial providers, and quality and specialization of services.
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1. Introduction

The promotion of mass participation in sports is an important public policy agenda in many European countries (Downward, Dawson, & Dejonghe, 2009). The governmental (e.g., schools), non-governmental (e.g., non-profit sports clubs), and commercial sectors (e.g., fitness clubs, yoga studios, football academies) all provide organizational settings for participation in sports and physical activities (Hoye, Smith, & Nicholson, 2012). Rather than being independent, these sectors overlap, and sector boundaries are becoming increasingly blurred (Misener & Misener, 2017). Past research assumes growing competition between the commercial and non-governmental sectors, as the commercial market has increased rapidly over the past decades (Breuer, Giel, & Hallmann, 2017; Gratton & Taylor, 2000). While the commercial sector has been growing, population level participation in sports has not increased correspondingly (Jütting & Marker, 2011). Thus, a shift in demand from non-profit sports providers to commercial providers has been identified (Borgers, Pilgaard, Vanreusel, & Scheerder, 2018; Downward et al., 2009). This development may present a challenge for non-profit sports clubs as they rely on their

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members for funding through membership fees and voluntary engagement (Enjolras, 2002). Moreover, as the general justification for public subsidies for non-profit sports clubs has been the production of public goods such as social cohesion and social capital, a decrease in membership numbers would present an existential threat for non-profit sports clubs (Ahlert, 2005; Okayasu, Kawahara, & Nogawa, 2010; Ulseth, 2004).

On the other hand, researchers have pointed out that competition between non-profit sports clubs and commercial sports providers occurs only in certain areas. For one, membership figures in non-profit sports clubs across Europe have remained relatively stable (Eurobarometer, 2017), which may indicate that non-profit sports clubs and commercial sports providers aim at different target groups and, therefore, only some non-profit sports clubs offering similar programs to commercial sports providers enter into competition (Jütting & Marker, 2011). Furthermore, competition occurs in the sector of individual sports and sports for health and fitness as they presumably offer most profitable opportunities for organizations (Gratton & Taylor, 2000). However, these arguments lack empirical evidence.

Research on the competitive situation in the sports market is thus scarce. Moreover, there are no studies on how non-profit sports clubs perceive their relationship with commercial sports providers and if they see themselves to be in competition with them. Therefore, we address this research gap by investigating the competitive situation between non-profit sports clubs and commercial sports providers empirically. The aim of the study is threefold, as reflected in the following three research questions:

Research Question 1: Does the growth of the commercial market present a problem for non-profit sports clubs?

Research Question 2: What are the characteristics of non-profit sports clubs that perceive competition from commercial sports providers as a problem?

Research Question 3: Why do these non-profit sports clubs perceive competition from commercial sport providers as a problem?

We contribute to the theoretical discussion on competition in the sports market by applying strategic management principles to the investigation of the sports market, providing empirical evidence, and employing a mixed-methods approach. While the mixed-methods approach has been applied in previous sports management studies (e.g., Goldsmith & Walker, 2015; Inoue, Heffernan, Yamaguchi, & Filo, 2018), there have been calls for increased use of mixed-methods in sports management (Rudd & Johnson, 2010; van der Roest, Spaaij, & van Bottenburg, 2015). Additionally, the findings provide implications for practitioners, especially sports managers working in non-profit sports clubs, as they identify market areas where competition is more evident and highlight measures to counteract potential competition. This is also relevant for policy makers as non-profit sports clubs fulfill important societal functions and play a key role in modern societies (Ulseth, 2004).

To answer the research questions, we present a short overview of the German sports market, followed by a review of previous studies focusing on competition in the general non-profit sector as well as in the sports context. Next, the theoretical framework of the study is introduced. Based on the assumptions of the theoretical framework, the empirical investigation and results of the quantitative and qualitative analysis is presented. Lastly, the results of both the analysis are discussed and limitations and directions for future research are highlighted.

2. Research context

We focus our research on the German sports market. While sports policies and participation patterns in sports across Europe are somewhat similar (Scheerder, Vandermeerschen et al., 2011), the German sports market has certain unique characteristics. Compared to other European countries, German citizens report to be rather active: 48% of Germans participate in sports either regularly or with some regularity, whereas 40% of Europeans on average participate actively in sports (Eurobarometer, 2017). While the majority of Germans exercise at home or outdoors (41%, 39%, respectively), a considerable share of German citizens is engaged in non-profit sports clubs (21%) or health and fitness centers (14%; Eurobarometer, 2017).

Overall, there are almost 90,000 non-profit sports clubs in Germany with approximately 27 million memberships (DOSB, 2017). Non-profit sports clubs play an important role in the German society as they consider themselves foremost as welfare-oriented organizations (Breuer & Feiler, 2017). They offer a variety of sports opportunities, both in team as well as individual sports. Typically, non-profit sports clubs offer different types of sports such as soccer, gymnastics, or tennis (DOSB, 2017). Moreover, non-profit sports clubs are increasingly offering sports for health and fitness aimed at older citizens or citizens with health impairments. Sports for health and fitness are individual sports which are undertaken not for competitive reasons but to improve physical health. Typical sports for health and fitness include coronary sports, gymnastics, and yoga. These types of sports have been typically offered by commercial sports providers (Petry & Hallmann, 2013). While the overall membership figures of non-profit sports clubs in Germany have remained stable (DOSB, 2017), the perceived problem of recruiting and retaining members is seen as one of the major problems by non-profit sports clubs (Breuer & Feiler, 2017).

In contrast, the commercial fitness sector in Germany is booming. While commercial sports providers can offer a wide range of sports such as fitness activities, martial arts, and yoga, there are no studies on the overall market of commercial sports providers in Germany. National level data are only available for the commercial fitness sector. There are around 9000 fitness clubs in Germany offering sports for 10.6 million members. Membership figures have increased steadily over the past years with increase rates between 4% and 6% (DSSV, 2018). While non-profit sports clubs are still the primary providers

of sports for children and adolescents (DOSB, 2017), commercial sports providers are becoming increasingly attractive for this age group (Thieme, 2015).

3. Literature review

3.1. Competition in non-profit research

Competition between non-profit and for-profit organizations has been investigated in various contexts, for example the social welfare market (e.g., Hirth, 1997,1999; Keeler, Melnick, & Zwanziger, 1999), low-income housing market (Ballard, 2003), and insurance market (Adamache & Sloan, 1983). Competition occurs between non-profit and for-profit organizations when (a) non-profit organizations enter a market where for-profit organizations are already operating, or (b) non-profit organizations create a promising product with profit potential so that for-profit organizations also offer it (Tuckman, 1998). In the sports market, both forms of competition can occur. The former case occurs when non-profit sports clubs offer services such as sports for health and fitness that commercial fitness centers traditionally offer (Crompton, 1998; Petry & Hallmann, 2013). Generally, the latter case can be assumed because non-profit sports clubs existed much before commercial providers who entered the market for sports participation only when sufficient profits were expected. It has been found that non-profit organizations enjoy a comparative advantage over for-profit suppliers as they are perceived to be more trustworthy by poorly informed customers (Hirth, 1999) and offer their products at lower prices due to tax advantages (Crompton, 1998) and voluntary work (Gratton & Taylor, 2000). However, a higher density in social markets is found to decrease the financial health of non-profit organizations (Paarlberg, An, Nesbit, Christensen, & Bullock, 2018).

While competition has been investigated, especially in the earlier years, new insights into the social welfare market have discovered the phenomenon of "sector blurring" (Dees & Anderson, 2003). It is increasingly difficult to distinguish between governmental, non-profit, and commercial organizations due to societal and global changes (Bromley & Meyer, 2014). Sector blurring refers to the activities and relationships that obscure the distinction between non-profit and for-profit organizations as they either behave in similar ways or operate in the same market (Dees & Anderson, 2003). Thus, competition between for-profit and non-profit organizations is assumed to occur increasingly as they operate in similar ways and markets.

3.2. Competition in the sports market

Sector blurring is also a relevant topic in sports management research (Adams, Morrow, & Thomson, 2017; Misener & Misener, 2017). Only a few scholars have examined the interrelationship between non-profit sports clubs and commercial sports providers. Some researchers compared the different motives for participating in sports in different organizational settings and found that members in non-profit sports clubs place focus on the social aspects, while members of commercial fitness clubs are motivated by the health and fitness aspects (Borgers et al., 2018; Ulseth, 2004).

Only a little research has been dedicated to the actual competitive situation between these two types of sports suppliers. Gratton and Taylor (2000) first argued that competition between commercial sports providers and non-profit sports clubs has increased due to (a) unsatisfied market demand as people want more individualized sports programs, (b) a large heterogeneity in demand as different people want different kinds of sports programs, and (c) the "income hypothesis," which states that commercial sports providers enter the sports market in areas that have profit potential. The authors provide first evidence by pointing out key features of the sports market in the UK such as the growth of the commercial fitness sector (Gratton & Taylor, 2000).

In the German sports market, Jütting and Marker (2011) argued in a similar way by describing the key features in the development of non-profit sports clubs in Germany and showing that while the number of commercial sports providers in Germany has increased significantly, membership figures in the non-profit sector have remained stable and, therefore, seemed to be unaffected. They concluded that competition from commercial sports providers seems to only affect certain non-profit sports clubs. Moreover, they argued like Gratton and Taylor (2000) that competition occurs in the health and fitness sector as it promises maximum profits for sports suppliers (Jütting & Marker, 2011). However, there is no empirical evidence for both claims. Breuer and Wicker (2010) first provided empirical evidence for the increasing competition in the sector of sports for health and fitness. The authors show that non-profit sports clubs offering sports for health and fitness rated the problem of competition from commercial sports providers significantly higher than clubs without sports for health and fitness. However, the focus was only on the consequences of offering sports for health and fitness rather than the competitive situation in the sports market. Hallmann, Feiler, and Breuer (2015) addressed this gap by investigating the consequences of the existence of different sports programs on individual participation. They found that the availability of commercial sports providers decreased participation in non-profit sports clubs and, therefore, provided evidence for a substitution effect in sports supply (Hallmann, Feiler, & Breuer, 2015). However, as the study was conducted only in one city in Germany (Munich) it is, therefore, difficult to generalize the findings to the overall German sports market and the global context.

Overall, empirical evidence on the claim of increasing competition in the sports market is missing, especially at the broader national and international level. Furthermore, claims that only certain non-profit sports clubs are affected, especially the notion that sports for health and fitness attracts competition between sports providers must be tested empirically. Thus,

we aim to contribute to this area by investigating the perceived competition from the perspective of non-profit sports clubs at the national level.

4. Theoretical framework

To predict which non-profit sports clubs are affected by competition from commercial sports providers, it is important to first define commercial sports providers and identify central characteristics. Commercial sports providers are defined by their profit-orientation as they are organized in a market- and profit-oriented way (Laine & Vehmas, 2017). Furthermore, commercial sports providers do not offer opportunities for participation in the organizational decision-making process. Thus, their target groups are customers rather than members. The characteristics of commercial sports providers include offering services for active participation in sports, leisure, health, trends and individual sports, organizational independence, and employing paid staff (Schubert, 2008).

In contrast to commercial sports providers, non-profit sports clubs are voluntary organizations that do not strive to generate profits but rather exist to fulfill their organizational goals of offering opportunities for active sports participation. The key characteristics are voluntary memberships and organizational goals that are oriented to members' interests, democratic and participatory decision-making processes, voluntary engagement, and autonomy in their operation (Horch, 1994). In contrast to commercial sports providers, non-profit sports clubs are member-based organizations that mainly serve their members' interests by providing opportunities for sports participation through their members.

In order to assess competition between these two types of organizations, it is important to define the meaning of competition. From a management perspective, competition can be defined as: "[. . .] above all, a process not a state. That process is informed by the combined social and economic character of given markets as well as the often intensely subjective perception of those involved" (Whipp, 1992, p. 51). In the management field, there are different schools of thought dealing with competition, such as the industrial organization school, decision making, and strategic management (Desarbo, Grewal, & Wind, 2006). In the context of this study, the strategic management approach is chosen as it focuses on organizational characteristics that determine the scope of competition in the market.

The main assumption in strategic management on the concept of competition is that firms with a similar strategy are more likely to compete with each other than all the firms in the industry. This is partly the case because managers cognitively dissect their industry into sub-sectors to reduce uncertainty and cope with bounded rationality (Peteraf & Shanley, 1997). Porter (1980) developed the concept of strategic groups suggesting that firms operating in an industry can be categorized into groups based on following similar organizational strategies that are mapped along strategic dimensions. Identifying strategic groups serves to ascertain the competitive position of firms in an industry and to uncover reasons why some firms are more profitable than others (Porter, 1980). Strategic groups are distinguished based on their (a) strategy, (b) organizational characteristics, (c) market share, and (d) response to external events (McGee, 2014; Porter, 1980).

Based on the concept of strategic groups and considering the specific nature of non-profit sports clubs and commercial sports providers, certain assumptions can be made on the characteristics of non-profit sports clubs that are more affected by competition from commercial sports providers. First, it can be assumed that non-profit sports clubs sharing a similar strategy as commercial sports providers are more likely to perceive them as competition. While commercial sports providers aim at generating economic profits and follow business strategies such as product differentiation, cost leadership, and focus (Porter, 1980), non-profit sports clubs aim at generating social profit in terms of social activities (Scheerder, Vandermeerschen et al., 2011; Scheerder, Zintz, & Delheye, 2011). Breuer, Feiler, and Wicker (2013) identified nine types of strategies in German non-profit sports clubs: traditional, social, service-oriented, integrative, price leadership, quality leadership, high-performance sports, leisure and health sports, and diversity. These strategies can be distinguished based on their strategic focus: while traditional, social, integrative, and diversity strategies aim more at creating social benefits, service-oriented, price leadership, quality leadership, and leisure and health sports strategies focus more on economic aspects. As commercial sports providers aim at generating economic profits, it is assumed that non-profit sports clubs following service-oriented, price leadership, quality leadership, and leisure and health sports strategies are more likely to be affected by competition from commercial sports providers.

Second, strategic groups can differ based on organizational characteristics. The club strategies identified by Breuer et al. (2013) are found to correlate with organizational characteristics. The strategies service-oriented, quality leaders, leisure and health sports, integrative, and diversity have been found to be pursued more by multi-sport clubs with higher membership figures. In contrast, traditional and convivial strategies are found to be more prevalent in smaller, single-sport clubs. Strategies such as high-performance sports and price leadership do not differ with membership figures. However, clubs pursuing high-performance sports are found to be rather single-sport clubs while multi-sport clubs pursue the price leadership strategy (Breuer et al., 2013).

Nagel, Conzelmann, and Gabler (2004) further show that club characteristics in terms of membership size and structure (single-sport vs. multi-sport) correlate with the level of professionalization, possession of facilities, and financial structures. Bigger, multi-sport clubs employ on average a higher number of paid staff, report more problems with voluntary engagement, are more likely to own facilities such as a club office, and report on average greater financial problems as smaller, single-sport clubs. As commercial sports providers are characterized as professionalized organizations, it is assumed that bigger, multi-sport clubs employing paid staff, possessing facilities, and experiencing financial problems are more affected by competition.

Strategic groups can further be distinguished based on market share and similar responses to external events. However, as the market share of clubs is implicitly included as membership size and non-profit sports clubs are generally reluctant to react to external events due to their democratic decision-making processes (Horch, 1994; Thiel & Meier, 2004), these dimensions are not included in the present analysis.

Based on previous assumptions, a strategic group map is created illustrating the different strategies and organizational characteristics of non-profit sports clubs. Strategic group maps are a useful tool to visualize the strategic position of groups and thus display their competitive positions (Porter, 1980). Organizations are mapped along two strategic dimensions that are chosen by the researcher. In this case, strategic groups are mapped along the dimensions professionalization (purely voluntary organization vs. professionalized organization) and strategic focus (social aspects vs. economic aspects). The term "professionalization" must be treated with caution in this case as non-profit sports clubs remain voluntary organizations, as characterized by Horch (1994), but with a higher number of paid staff members and professional club management in place. The strategic group map for non-profit sports clubs is presented in Fig. 1.

In the present study, we investigate how far the organizational strategies and characteristics identified previously can be used to distinguish distinct strategic groups among non-profit sports clubs as they determine the level of competition to commercial sports providers.

5. Method

To answer the research questions, a mixed-methods approach was employed. The first two research questions were investigated using data from a national survey of non-profit sports clubs in Germany. To gain deeper insights into the reasons underlying the findings of the quantitative analysis, an additional qualitative investigation was conducted. Thus, this study can be characterized as an explanatory mixed-methods study following a dominant-status sequential design (QUAN -> qual; Rudd & Johnson, 2010). A mixed-methods approach is favored in research contexts where the constructs of interest are ambiguous and have not been investigated extensively (David, Hitchcock, Ragan, Brooks, & Starkey, 2016). Moreover, mixing both quantitative and qualitative instruments serves to improve the validity of the research findings and enables researchers to make causal inferences (Rudd & Johnson, 2010).

5.1. Data source

For the quantitative analysis, data were retrieved from the 6th wave of the *Sport Development Report*. The *Sport Development Report* is a large-scale research project that is financed by the Federal Institute of Sport Science (BISp), German Olympic Sports Confederation (DOSB), and the 16 federal state sports confederations. The project is based on a longitudinal

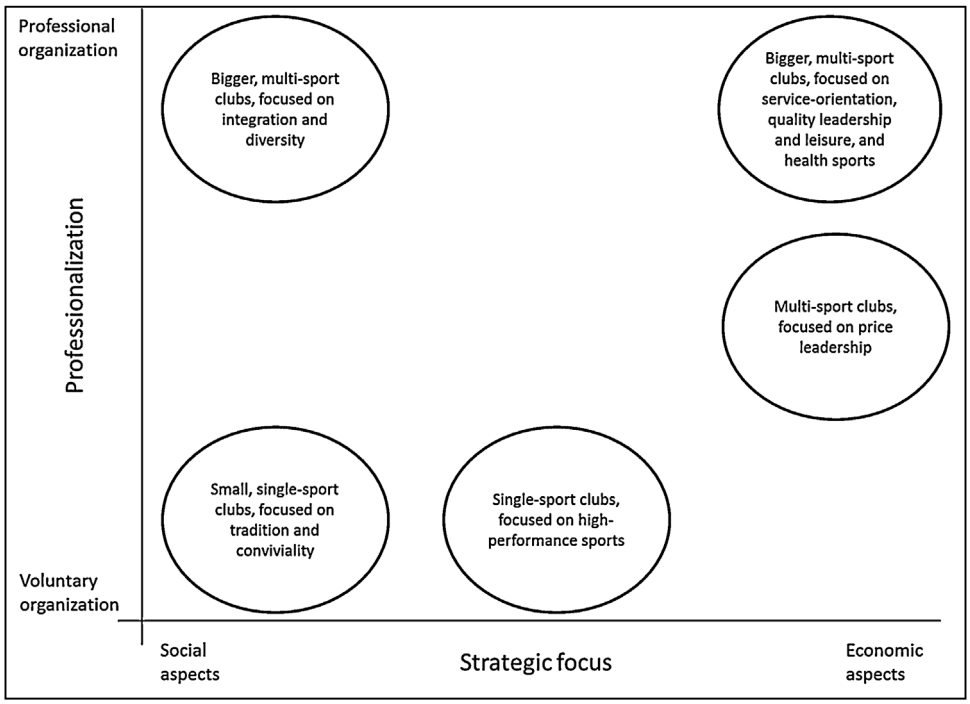


Fig. 1. Proposed strategic group map of non-profit sports clubs in Germany.

online survey of non-profit sports clubs in Germany that is being conducted every two years since 2005. The sixth wave was conducted between September and December 2015 and returned by 20,546 sport clubs. As the overall number of non-profit sports clubs in Germany amounted to 90,240 in 2015 (DOSB, 2015), this presents a response rate of 22.8% (Breuer & Feiler, 2017).

The qualitative part of the study included semi-structured interviews with 6 non-profit sports clubs. Non-profit sports clubs were chosen based on the characteristics uncovered in the regression analysis (see section 5.3). Interviews were conducted with two integrative non-profit sports clubs, two non-profit sports clubs offering sports for health and fitness, and two non-profit sports clubs offering karate. Integrative non-profit sports clubs are characterized as partner clubs of the program "integration through sport" (DOSB, 2019). Moreover, community size was considered as non-profit sports clubs were located either in a large community (approx. 300,000 inhabitants) or a rural area close by (approx. 20,000 inhabitants). Each type of non-profit sports club was investigated in each community size, namely one integrative club was located in the city while the other was in the rural area. Club representatives (i.e., board members or club managers) were approached via e-mail in the spring of 2019 and asked to participate in the study. Interviews were conducted via telephone, recorded, and transcribed verbatim. All the interviews were held in German, which is both the participants' as well as the researchers' native language.

5.2. Operationalization

The dependent variable in the quantitative analysis was based on the question "How big is the following problem now: local competition from commercial sports providers" that was measured on a 5-point Likert scale (1 = *no problem*, 5 = *a very big problem*). Non-profit sports clubs had the additional opportunity to indicate if the problem threatened the club's existence. A dummy variable was created out of the problem statement "local competition from commercial sports providers" (*Competition_Dummy*). The dummy variable took on the value "0" if the non-profit sports club indicated no problem of competition (scale value "1" in original variable) and the value "1" if the non-profit sports club indicated that it perceived competition from commercial sports providers to be a problem (scale values "2" to "5" in the original variable).

The independent variables reflected the strategic group variables introduced in the theoretical framework. To discover if the club strategies detected by Breuer et al. (2013) are also represented in this dataset, they were reflected by 36 items measured on a 5-point Likert scale where non-profit sports clubs indicate if they agreed or disagreed with the statements. The organizational characteristics in the strategic groups were reflected by the absolute number of members in the club (*Members_Sum*), being a multi-sport club (*Multisport*), number of volunteers per member (*VOL_Share*), number of paid employees (*Staff_Sum*), possessing a club-owned gym (*Own_gym*), owning facilities in general (*Own_facility*) as well as revenue per member (*Revenues_member*) and a positive financial balance (*BreakEven*). Moreover, to control for sport-specific effects, several sports dummies were included. The types of sports included in the analysis were chosen as they reflected the different sports provided by commercial sports providers found in the previous studies (Schubert, 1991). Lastly, the analysis controlled for community size as previous scholars identified higher prevalence of bigger, multi-sport clubs in urban areas (Nagel et al., 2004).

As some non-profit sports clubs did not answer all the survey questions, especially the questions regarding club finances, the sample size was reduced to 4456 clubs in the underlying analysis. All the variables included in the analysis and their respective summary statistics are presented in Table 1.

5.3. Data analysis

The quantitative analysis consisted of three steps. First, descriptive statistics were computed to explore the overall characteristics of non-profit sports clubs in the sample and discover how many non-profit sports clubs were affected by competition from commercial sports providers.

Second, principal component analysis with varimax rotation was used to reduce the items on club strategies and extract factors representing distinct club strategies. Items were dropped from the analysis when the communalities were below .4 or items loaded on no factor or on two factors, respectively (Tabachnik & Fidell, 2007). The extracted factors in the final solution were accepted as all factor loadings were above .5, the Kaiser-Meyer-Olkin criterion was higher than .6, and the overall variance extracted was higher than 60% (Tabachnik & Fidell, 2007). The extracted factors were checked for reliability using Cronbach's Alpha. Reliability is usually accepted with values greater than $\alpha = .7$ (Hair, Black, & Babin, 2014). However, previous research found Cronbach's Alpha values of $\alpha = .6$ to be satisfactory (Moss et al., 1998). Thus, reliability was accepted when Cronbach's Alpha of each factor was above .6.

Third, a logistic regression analysis was estimated on the probability of non-profit sports clubs perceiving competition from commercial sports providers as a problem or not. The regression model showed no problem of multicollinearity as all variance inflation factors (VIF) were below 5 and thus well below the suggested cut-off criterion of 10 (Hair et al., 2014). To test for heteroscedasticity, a Breusch-Pagan test was conducted. As the test was significant, the regression model was estimated with robust standard errors (MacKinnon & White, 1985).

In the qualitative data collection phase, non-profit sports clubs participating in the interviews were initially asked if they perceived themselves to be in competition with commercial sports providers or not. Based on their answer to the initial

Table 1
Overview of variables in model and summary statistics.

Variable	Operationalization	Scale	Mean (Standard Deviation)	Min	Max
Dependent Variable					
Competition_Dummy	Perceived problem of competition with commercial sport providers	Binary	.353 -	0	1
Independent Variables					
Organizational strategy					
STR_Strategic	Club aims for strategic management	Metric	3.776 (.704)	1	5
STR_SocialIntegration	Club aims for social integration	Metric	3.138 (.973)	1	5
STR_Performance	Club aims for high-performance sports	Metric	3.031 (1.150)	1	5
STR_LowBarrier	Club aims for low-barrier sports supply	Metric	3.571 (.677)	1	5
STR_Tradition	Club aims for preserving traditions	Metric	3.438 (.767)	1	5
Organizational characteristics					
Members_Sum	Total number of club memberships	Metric	309.420 (508.436)	4	8,220
Multisport	One-sport club vs. multi-sport club	Binary	.385 -	0	1
VOL_Share	Club volunteers per member (in %)	Metric	.143 (.133)	.0002	1
Staff_Sum	Total number of paid staff	Metric	4.164 (12.648)	0	277
Revenues_member	Club revenue per member	Metric	194.078 (365.881)	0	10,485.8
BreakEven	Positive ratio of revenue/expenditure	Binary	.760 -	0	1
Own_Gym	Club-owned gym present	Binary	.037 -	0	1
Own_Facility	Club owns sports facility	Binary	.442 -	0	1
Control variables					
Aikido	Club offer aikido	Binary	.011 -	0	1
Billiard	Club offers billiard	Binary	.011 -	0	1
FitnAerobic	Club offers fitness and aerobics	Binary	.140 -	0	1
HealthSport	Club offers sports for health and fitness	Binary	.105 -	0	1
Judo	Club offers judo	Binary	.037 -	0	1
JuJutsu	Club offers jujutsu	Binary	.021 -	0	1
Karate	Club offers karate	Binary	.037 -	0	1
Bowling	Club offers bowling	Binary	.009 -	0	1
Climbing	Club offers climbing	Binary	.011 -	0	1
Equestrian	Club offers equestrian sports	Binary	.045 -	0	1
Reha	Club offers rehabilitation sports	Binary	.048 -	0	1
Sailing	Club offers sailing	Binary	.021 -	0	1
Dancing	Club offers dancing	Binary	.090 -	0	1
Diving	Club offers diving	Binary	.018 -	0	1
Trendsports	Clubs offers trend sports	Binary	.014 -	0	1
Bodybuilding	Club offers bodybuilding	Binary	.004 -	0	1
Tennis	Club offers tennis	Binary	.134 -	0	1
Squash	Club offers squash	Binary	.002 -	0	1
Golf	Club offers golf	Binary	.005 -	0	1
Badminton	Club offers badminton	Binary	.097 -	0	1
Skiing	Club offers skiing	Binary	.051 -	0	1
Swimming	Club offers swimming	Binary	.070 -	0	1
Community1	Small community (up to 20,000 inhabitants)	Binary	.457 -	0	1
Community2	Medium community (20,001 – 100,000 inhabitants)	Binary	.305 -	0	1
Community3	Large community (100,001 – 500,000 inhabitants)	Binary	.138 -	0	1
Community4	Metropole (more than 500,001 inhabitants)	Binary	.100 -	0	1

question, further questions were asked to disclose the reasons if competition was perceived or not. Lastly, non-profit sports clubs were asked about the measures they had or were planning to implement to counteract competition.

The interviews were analyzed based on the constant comparative method (Glaser & Strauss, 1967). This approach includes a four-step process. First, interviews were read, and incidents were coded and constantly compared to other incidents occurring in the interviews. Second, the incidents were integrated into categories and their respective properties. In the case of this study, categories that emerged were either reasons for competition or no competition, and measures to counteract competition. The third step consisted of the delimiting theory by reducing the categories until they were saturated. The fourth and final step consisted of reporting the results. Previous sports management research also used the constant comparative method of analysis (Goldsmith & Walker, 2015).

6. Results

6.1. Results of quantitative analysis

6.1.1. Descriptive results

The descriptive results revealed that 35.3% of non-profit sports clubs perceived competition from commercial sports providers as a problem (see Table 1). Non-profit sports clubs in the sample had on average 309 members (SD = 508.436) and 38.5% of the clubs offered more than one sport. Around 14% of the members were on average engaged as volunteers in the

clubs. The number of paid staff in non-profit sports clubs included four (*SD* = 12.648) paid staff members (freelancer, part-time, or full-time) per club. In terms of club finances, non-profit sports clubs generated around 194 EUR per member (*SD* = 365.881) and many non-profit sports clubs indicated at having a positive financial balance (76.0%). While around 44% of non-profit sports clubs owned a facility, only 3.7% owned a club-gym. In terms of sports offered, many non-profit sports clubs in the sample offered fitness and aerobic programs (14.0%), tennis (13.4%), and sports for health and fitness (10.5%). Other sports were only offered by a small fraction of non-profit sports clubs (see Table 1). Non-profit sports clubs in the sample were mostly located in smaller communities (45.7%).

6.1.2. Analytical results

The principal component analysis on club strategies resulted initially in a six-factor solution. As one factor lacked reliability, the final solution resulted in five factors. Based on the items representing each factor, these factors were labelled *STR_Strategic*, *STR_SocialIntegration*, *STR_Performance*, *STR_LowBarrier*, and *STR_Tradition*. Non-profit sports clubs indicated that they mostly follow a strategic management approach (*M* = 3.78, *SD* = .704), provide low-barrier offers for sports participation (*M* = 3.57, *SD* = .677), and aim to preserve their traditions (*M* = 3.44, *SD* = .767). Non-profit sports clubs aimed at social integration (*M* = 3.14, *SD* = .973) and pursuing high-performance sports (*M* = 3.03, *SD* = 1.150) to a lesser extent. The items describing each factor and their respective factor loadings are listed in Table 2, and the descriptive results of the factors are presented in Table 1.

To detect which non-profit sports clubs are more likely to perceive competition as a problem from commercial sports providers, a logistic regression analysis was conducted. The results indicated a significant association between the organizational characteristics of non-profit sports clubs and the perception of competition to be a problem: $\chi^2(38) = 374.78$, $p \leq .001$. The individual predictors were examined further and showed that non-profit sports clubs following a strategic management approach and possessing a club-owned gym were significantly less likely to perceive competition from commercial sports providers to be a problem. Moreover, non-profit sports clubs with a higher share of volunteers per member, a positive financial balance and located in a small community were less likely to perceive it as a problem. In contrast, non-profit sports clubs that aimed at social integration and offered multiple types of sports were significantly more likely to perceive competition to be a problem. In terms of sports offered, the results showed that non-profit sports clubs offering sailing were significantly less likely to perceive competition as a problem, while non-profit sports clubs offering sports for health and fitness, judo, karate, rehabilitation sports, dancing, and diving were significantly more likely to rate it as a problem (see Table 3).

Table 2
Summary statistics and results of exploratory factor analysis on club strategies and reliability.

Club strategy	Items included	Mean (item)	Factor loading (item)	Cronbach's Alpha	Eigenvalue	Variance explained in %
STR_Strategic	Our club has a strategic concept.	3.412	.737	.808	5.281	27.80
	Our club pays special attention to the quality of sports programs.	3.987	.642			
	Our club is optimistic about the future.	3.733	.626			
	Our club values the qualification of coaches.	4.214	.521			
	Our club has a long-term plan.	3.522	.783			
	Our club controls the implementation of plans.	3.752	.756			
STR_SocialIntegration	Our club sees it as a task to get youth off the streets.	3.300	.638	.768	2.123	11.17
	Our club engages in the prevention of sexual violence.	3.387	.707			
	Our club is engaged for refugees.	2.898	.771			
	Our club should get a financial reimbursement for its work in integration.	3.036	.719			
STR_Performance	Our club is proud of its achievements in high-performance sports.	3.467	.870	.863	1.768	9.31
	Our club is highly engaged in developing sporting talent.	2.601	.803			
	Our club values sporting success and high-performance sports.	2.998	.867			
STR_LowBarrier	Our club offers low-priced opportunities for practicing sports.	4.421	.762	.703	1.476	7.77
	Our club offers sports for people with low income.	4.065	.826			
	Our club provides sports for people with a migration background.	4.064	.671			
STR_Tradition	Our club values community and social gatherings.	4.019	.759	.613	1.091	5.74
	Our club values traditions.	3.410	.705			
	Our club values non-sporting offers.	2.886	.708			
KMO	.844					
Bartlett's Sphericity	33,700.426***					

Table 3
Results of logistic regression analysis.

Variable	Unstandardized coefficients (robust standard errors)
STR_Strategic	−.281 (.056)***
STR_SocialIntegration	.270 (.042)***
STR_Performance	.058 (.034)
STR_LowBarrier	.145 (.111)
STR_Tradition	−.096 (.097)
Members_Sum	.00005 (.0001)
Multisport	.209 (.084)*
VOL_Share	−1.040 (.299)***
Staff_Sum	.006 (.004)
Revenues_Member	.00007 (.0001)
BreakEven	−.152 (.077)*
Own_Gym	−.399 (.189)*
Own_Facility	.083 (.076)
Aikido	−.046 (.349)
Billiard	−.414 (.346)
FitnAerobic	.118 (.115)
HealthSport	.563 (.129)***
Judo	.392 (.188)*
JuJutsu	.118 (.263)
Karate	.734 (.202)***
Bowling	.267 (.339)
Climbing	.187 (.367)
Equestrian	−.199 (.186)
Reha	.624 (.180)***
Sailing	−.729 (.272)**
Dancing	.632 (.125)***
Diving	.515 (.261)*
Trendsports	.195 (.334)
Bodybuilding	.153 (.528)
Tennis	.113 (.106)
Squash	.438 (.623)
Golf	.613 (.202)
Badminton	−.117 (.130)
Skiing	−.091 (.166)
Swimming	.222 (.140)
Community1	−.530 (.116)***
Community2	−.208 (.118)
Community3	−.203 (.135)
Community4	REF
Constant	−.565 (.253)*
−2LL	−2658.426
X^2	374.78***
Pseudo R^2	.0812
n	4456

Note: *p ≤ .05, **p ≤ .01, ***p ≤ .001.

6.2. Results of qualitative analysis

6.2.1. Reasons for competition

Overall, the interview results confirmed the results of the regression analysis as only two non-profit sports clubs indicated to be in competition with commercial sports providers. These non-profit sports clubs were offering sports for health and fitness. All other non-profit sports clubs stated to either having no commercial sports providers close to them or not perceiving them to be real competition. The reasons for competition were stated to be the different types of sports offered, financial aspects, club characteristics, and market characteristics.

In terms of types of sports offered, it appeared that non-profit sports clubs offering a similar sport program to commercial sports providers (in this case only non-profit sports clubs offering sports for health and fitness) felt affected by competition as one non-profit sports club stated: “In our community, we have yoga-studios, we have a fitness club, we have a dancing school which all offer something similar to us. Especially in the areas of gymnastics and dancing – in these areas.” (health sports club, rural area).

Non-profit sports clubs engaged in sports for health and fitness also stated to partially aiming for the same target group as commercial sports providers. However, non-profit sports clubs offering sports for health and fitness pointed out that they attract an older audience compared to commercial sports providers. A sports program similar to commercial sports

providers also presented a problem for these clubs as they felt that they had to offer the amenities that commercial sports providers offered their customers. One non-profit sports club offering sports for health and fitness even planned to invest in a new sports studio to reach a new target group, which has so far been practicing sports in a commercial setting, with higher willingness-to-pay.

Apart from the different types of sports offered, most non-profit sports clubs mentioned financial aspects as the main reason for competition, with price playing a central role: "A year ago, a new fitness club opened around 500 m from here – a big fitness club. And we definitely see some people going away because we obviously cannot compete with their prices. Their offer is cheaper" (health sports club, urban area). It appeared that offering sports for health and fitness comes with high costs as instructors in sports for health and fitness are usually paid a salary rather than performing the task on a voluntary basis. Both non-profit sports clubs relied on paid staff and freelancers to offer their programs. These high costs were mainly due to reimbursements by health insurance companies as one club representative explained: "[. . .] that's what I blame the health insurance companies for. When they entered into sports for health and fitness and offered rehabilitation courses and others, they destroyed the costs for instructors. Before that, they were volunteers and when they suddenly received 20 DM (German Mark; explanation by authors) per course by a health insurance company then they obviously left the sports clubs where they got 3 or 4 DM per course and joined the health insurance companies. And when they became profitable, fitness clubs entered the market of sports for health and fitness." (health sports club, rural area).

The interviews also revealed that the organizational characteristics of the clubs played a role as the non-profit sports clubs offering sports for health and fitness and perceiving competition as a problem were both multi-sport clubs and had higher membership figures than the other clubs being interviewed. Moreover, while both non-profit sports clubs offering sports for health and fitness owned and operated their own facilities, they relied also on public facilities. This was considered a disadvantage as public facilities are only available in the evenings due to school commitments. In terms of market characteristics, the regional availability of commercial sports providers played a role. However, while all non-profit sports clubs, except for one, stated they had commercial sports providers located close by, competition was only perceived by non-profit sports clubs which felt they had an offer similar to commercial sports providers. Moreover, there were no regional differences between the large and the small communities.

6.2.2. Reasons for lack of competition

As stated before, most non-profit sports clubs did not see commercial sports providers as the main competitors. Both integrative clubs as well as karate clubs are stated to be rather unaffected by competition from commercial sports providers. A karate club and an integrative club (a swimming club) stated that they were unaware of other programs close to their clubs or were not paying attention to them. The reasons for this low perception of competition include the sports program offered, financial and social aspects, club characteristics, as well as market characteristics.

In terms of sports programs, most non-profit sports clubs stated that their programs were special and differed substantially from commercial programs. This was especially the case for both karate clubs: "We have—especially with our very special program—a distinct market niche which you won't find anywhere else. And that's why I have no problem with commercial martial arts schools." (karate club, urban area). All non-profit sports clubs, except for the health sports clubs, stated they had a specific strategy and a unique selling proposition (USP) that attracted a certain type of participant. In the case of an integrative club (a boxing club), the focus was on women's sports. Similarly, karate clubs offered programs aimed at personality development and thus required stable participation and smaller groups rather than high membership figures with wide fluctuations. In addition, non-profit sports clubs pointed out that they did not focus on profits and had a completely different business model compared to commercial sports providers.

In terms of price, most non-profit sports clubs stated that their membership fees are relatively low compared to commercial sports providers and thus did not experience competitive pressure from commercial sports providers: "The fee for children is around 45/46 EUR. That is an annual membership and includes two swimming classes. I don't get that with any commercial provider. Commercial providers take 140–160 EUR for 10 swimming sessions. That's why we don't see ourselves in competition to commercial providers." (integrative swimming club, urban area). These low prices are mostly due to tax exemptions and reliance on volunteers. All non-profit sports clubs, which stated that they have no problem with competition, relied solely on volunteers and could offer their programs for lower prices. Moreover, most non-profit sports clubs emphasized social aspects in their clubs. While commercial programs were perceived as being an anonymous way of practicing sports, most non-profit sports clubs stated that they offered sports to smaller groups and with high personal interaction thus emphasizing the social side of sports. There were no regional differences as these non-profit sports clubs operating in the larger community perceived themselves to be district clubs rather than serving the whole city.

In terms of club characteristics, most non-profit sports clubs with no outlook on competition were smaller non-profit sports clubs based solely on volunteers. Moreover, they were single-sport clubs with a high degree of specialization. With respect to market characteristics, factors such as availability of commercial programs not only played a key role but also excess demand for sports programs as one club representative stated: "Demand will always stay high. [. . .] there is always this long, enduring practice which will always attract its clientele. So, this offer is so diverse and so individualized that there will always be a big demand and always a big supply." (karate club, rural area). This aspect was also highlighted by one of the integrative clubs as the club representative explained that refugees required services urgently and city programs and private initiatives could not satisfy the demand that arose after the refugee crisis in Germany 2015.

6.2.3. Measures to counteract competition

While non-profit sports clubs perceived competitive pressure to be low, some stated to have implemented or planned to implement measures to counteract potential competition by commercial sports providers. These measures included cooperation, creation of specialized programs, low-cost advertisements, balance between paid staff and volunteers, and the introduction of a club-owned gym.

One non-profit sports club stated that it had started cooperative relationships with regional fitness clubs to increase the range of non-profit sports club and attract new members. These alliances were implemented as guest memberships: members of fitness clubs could additionally pay a small annual fee to become a non-profit sports club member and enter boxing competitions under the club's name. The club representative emphasized the organizational autonomy of both providers: "We decided at one point to say we increase our range and cooperate with certain fitness clubs. And that's what we are currently developing. [. . .] they are autonomous cells which start under our flag, but which have of course absolutely equal rights and can operate autonomously." (integrative boxing club, rural area). According to this non-profit sports club, the establishment of cooperative relationships worked well to attract new members and increase the regional range of the club. Other non-profit sports clubs stated to have focused on the specific aspects of their programs to create a unique selling proposition (USP), thus attracting long-term members. This was especially the case for karate clubs. Moreover, one of the non-profit sports clubs offering sports for health and fitness planned to implement a strategy to attract a younger audience to its fitness programs which are mostly frequented by senior citizens in the age groups of 50, 60, and 70+ years.

In terms of marketing their sports programs, one non-profit sports club highlighted the competitive advantage of such clubs in terms of their low-cost advertisements: "We try to make more low-cost advertisement. Means, we report a lot about our club in the local newspaper. The newspaper rather writes about a club than about a commercial provider. So, we get the coverage for free." (health sports club, rural area).

Other non-profit sports clubs in rural areas also mentioned the aspect of local advertisements and positive word-of-mouth as effective ways to attract members. To keep human resources costs low, non-profit sports clubs also reported the aspect of trying to find a balance between paid staff and volunteers in their club offices. However, this was mostly relevant for health sports clubs as they relied on paid staff for their programs.

Lastly, one non-profit sports club stated that in order to grow and implement a major project of building a new club house, they had planned to establish a club-owned gym: "We think about: "okay, how can we attract people in the neighborhood around us to get active? Age group 40/50 + . And that's where we would see ourselves not in the range of regular fitness clubs but with a specialized gym." (integrative swimming club, urban area).

Overall, non-profit sports clubs are stated to have developed these measures in order to attract new target groups to their sport programs and expand their regional range. Moreover, some measures such as low-cost advertisements and balance of staff are also aimed at reducing organizational costs to increase the competitiveness of non-profit sports clubs' programs.

7. Discussion and conclusion

The results of both the quantitative and qualitative analysis show that the overall competitive situation in the sports market is rather low from the perspective of non-profit sports clubs. With respect to the first research question, the descriptive results show that only one-third of non-profit sports clubs rate competition from commercial sports providers as a problem. Thus, it can be concluded that the rapid growth of the commercial market in Germany over the past 30 years did not have a strong impact on the position of non-profit sports clubs. This contradicts previous statements in the literature in which a shift in demand and thus a more problematic situation for non-profit sports clubs was assumed (Borgers et al., 2018; Downward et al., 2009). The reasons for this relatively low share of non-profit sports clubs being affected have been identified in the interviews. Most non-profit sports clubs perceived their sports programs to be so special and distinct from commercial programs that they did not see themselves to be in competition with them. Rather, non-profit sports clubs attract a different target group: while competitive sports and team sports are attractive especially for children and adolescents, non-profit sports clubs engaged in sports for health and fitness appear to also offer attractive services for elderly as they emphasize the social aspect of participating in sports and avoiding anonymity. These findings are in line with the membership fluctuations that have been reported by the German Olympic Sports Federation: while membership figures in the age groups of 6–25 years and 40 + years are stable and slightly increasing, membership figures in the age group of 27–40 years are rapidly decreasing (DOSB, 2017). Thus, commercial sports providers and non-profit sports clubs generally aim at different target groups in their sports programs.

Nevertheless, some non-profit sports clubs perceive competition from commercial sports providers as a problem. With respect to the second research question, the logistic regression analysis shows that especially non-profit sports clubs aiming at social integration, offering multiple sports such as health and rehabilitation sports, martial arts, dancing or diving, are more likely to be affected by competition. These results partially confirm the theoretical assumptions of strategic groups as multi-sport clubs following a leisure and health sports strategy were assumed to be more likely to enter competition with commercial sports providers. Moreover, it appeared in the interviews that organizational characteristics played a central role in determining the competitive situation. Non-profit sports clubs offering similar sports programs as commercial sports providers were significantly more likely to be affected by competition than non-profit sports clubs which believe that their programs are substantially different. The overall low level of perceived competition in the interviews could be explained by the characteristics of non-profit sports clubs included in the interviews. While both health sports clubs were bigger, multi-sport clubs, all other non-profit sports clubs were smaller clubs specialized in single types of sports.

Both analyses confirmed that non-profit sports clubs offering sports for health and fitness and rehabilitation sports were more affected by competition from commercial sports providers than other non-profit sports clubs. This is in line with previous literature (Breuer & Wicker, 2010; Gratton & Taylor, 2000; Jütting & Marker, 2011). Considering the reasons for these findings and addressing the third research question, two main aspects emerged as explanatory factors: one, non-profit sports clubs offering sports for health and fitness perceived their service to be similar to commercial sports providers as they aimed for similar target groups. Moreover, most club managers' first association with commercial sports providers were fitness centers that are naturally engaged in sports for health and fitness. The second aspect of increasing competition was the financial aspect. Offering sports for health and fitness involves considerable costs as non-profit sports clubs feel the need to offer more professionalized services and employ paid staff. Furthermore, instructors' costs have increased in the healthcare sector due to reimbursements from health insurance companies. Thus, it appears that non-profit sports clubs not only compete for members with commercial sports providers but also for instructors. These high costs can present non-profit sports clubs with a challenge as, in turn, they must increase their prices as well. In view that price was mentioned as one of the key factors to determine if non-profit sports clubs were affected by competition or not, these high costs can be seen as one of the most prominent challenges for non-profit sports clubs. These findings are in line with research in the general social market reporting that higher competition decreases non-profit organizations' financial health (Paarlberg et al., 2018).

A surprising finding of the quantitative investigation is in terms of organizational strategies, as clubs following a more strategic management approach were less likely to be affected by competition from commercial sports providers whereas clubs following a social integration approach were more likely to be affected. The negative effect of the strategic management approach can be explained by two reasons. First, the use of strategic management principles has a positive effect on organizational performance and thus reduces overall organizational problems (Papadimitriou & Taylor, 2000; Wicker & Breuer, 2013). Second, the strategic management approach does not correspond completely to the strategies found by Breuer et al. (2013) of service-orientation, quality leadership, and health and leisure sports. Thus, this finding in the quantitative analysis may not adequately reflect the assumptions on the strategic groups identified in the theoretical framework. In contrast, the finding that social integrative clubs are more likely to be affected by competition was somehow expected as integrative clubs were previously found to be bigger, multi-sport clubs (Breuer et al., 2013). However, the finding could not be confirmed in the qualitative investigation. One reason for this could be that these integrative clubs included in the interviews were characterized as small, single-sport clubs and, thus, did not perfectly match the organizational characteristics identified in the strategic group. Overall, these findings suggest that organizational characteristics mediate the role of organizational strategies as smaller, single-sport clubs may not have the capacity to invest in distinct strategies.

To conclude, the present study has provided first empirical evidence on the competitive situation in the sports market from the perspective of non-profit sports clubs. While many non-profit sports clubs report they are unaffected by commercial sports supply, certain types of non-profit sports clubs do enter competition, especially in the sector of sports for health and fitness. Problems arise especially in the finance department when non-profit sports clubs are faced with higher costs and must compete with the prices of commercial sports providers. However, all non-profit sports clubs are also reported to have competitive advantages in terms of tax exemptions, low-cost advertisements, and higher loyalty of members. Thus, it can be concluded that the competitive situation for non-profit sports clubs does not present a major problem, contrary to the statements in previous academic and non-academic literature.

7.1. Theoretical and managerial implications

The study findings contribute to the theoretical knowledge on the sports market as they provide empirical evidence on the competitive situation between non-profit sports clubs and commercial sports providers. The present findings contradict previous assumptions that competition in the overall sports market is increasing (Borgers et al., 2018; Downward et al., 2009) and emphasize the need to take a more nuanced look at the sports market in the discussion on competition. Moreover, the results of both the quantitative and qualitative analysis show that mainly organizational characteristics and types of sports determine the level of competition to commercial sports providers. Organizational characteristics play an important role in determining how non-profit sports clubs can make use of strategies and, therefore, should be preferred as strategic group variables. This shows how the non-profit sports market differs from the business industry where business strategies play a more important role in determining competitive positions (Porter, 1980).

In terms of managerial implications, the present study has identified several measures which can reduce competitive forces and serve as strategies to recruit and attract new members. First, non-profit sports clubs that face problems of competition should be advised to invest in strategic management techniques as the strategic management approach has been found to diminish the likelihood of perceiving competition as a problem. Following the strategic management approach, that is, setting organizational goals, analyzing the strategic position, and developing, formulating, executing and evaluating a strategy could support bigger, multi-sport clubs engaged in sports for health and fitness as it may help to reduce long-term costs and enable non-profit sports clubs to offer their programs at a lower price.

Based on insights from the interview partners, non-profit sports clubs should reconsider their relationship with commercial sports providers and develop cooperative relations with them. This could be an opportunity for non-profit sports clubs aiming at creating programs for senior citizens and thus engage in sports for health and fitness. By creating alliances with commercial fitness centers, non-profit sports clubs could abandon their engagement in the high-cost health sector and focus on more traditional club sports. On the one hand, such alliances could further strengthen membership ties

as members already engaged in non-profit sports clubs would get additional rehabilitation programs in fitness centers while practicing sports in their non-profit sports clubs. On the other hand, it could attract new members as participants in commercial rehabilitation programs could become aware of additional programs of non-profit sports clubs. Such alliances between commercial and non-profit providers could present win-win situations for both.

Lastly, non-profit sports clubs should focus on the quality and distinctiveness of their programs. Non-profit sports clubs should be aware of the target group they want to reach and create programs that are especially aimed at such target groups. These programs may incorporate additional aspects such as personal development or emphasize on gender equality to create a unique image of non-profit sports clubs that sets them apart from commercial programs. This has been pointed out as positive aspects in the interviews. Moreover, non-profit sports clubs should use their competitive advantage in terms of public trust and low-cost advertisement opportunities to create awareness about the benefits of their programs.

7.2. Limitations and future research

While the study has been carefully conducted and executed, some shortcomings must be addressed. First, the statistical model in the quantitative analysis only explains a small amount of variance. This perhaps indicates that there are other factors that explain non-profit sports clubs' perception of competition from commercial sports providers. Other factors such as inter-organizational relationships or subjective predispositions of club managers may affect this perception more than organizational characteristics. Furthermore, the extent of competitive pressure was measured subjectively as perceived competition. Including objective factors such as availability of commercial sports providers in the local area may yield more accurate results in the statistical analysis.

In terms of qualitative analysis, the small number of interviews that were conducted limits the explanatory power of the results. Moreover, as both integrative non-profit sports clubs are specialized, single-sport clubs, such as a swimming club or a boxing club, the insights into the social integration market may not represent the situation of other integrative non-profit sports clubs. However, as the present study followed a mixed-methods dominant-status sequential design focusing on quantitative investigation, the small number of interviews is deemed adequate as the characteristics of the interview partners reflect the results of the quantitative analysis and provide first insights into the causes behind the quantitative findings.

To address the study limitations, future research should extend the scope of the qualitative investigation in terms of club characteristics and regional characteristics. It may be of interest to research the situation of non-profit sports clubs in metropolis as the density of commercial and non-profit providers may be even higher. Additionally, researchers should examine cooperative relationships between non-profit sports clubs and commercial sports providers for a better understanding of the opportunities and risks underlying such endeavors. Furthermore, scholars should include objective measures in the statistical analysis such as number of competitors in the local area and their market share (as measured by membership figures). Lastly, the focus should not only be on the perspective of non-profit sports clubs, but also include commercial sports providers. The perception of a competitive situation in the sports market may differ substantially, as viewed by commercial sport providers.

Declaration of Competing Interest

None.

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